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Types of Orders

The most common types of orders are **market orders**, **limit orders**, and **stop-loss orders**.

- **A market order** is an order to buy or sell a security (/glossary/glossary_terms/security) immediately. This type of order guarantees that the order will be executed, but does not guarantee the execution price. A market order generally will execute at or near the current bid (for a sell order) or ask (for a buy order) price. However, it is important for investors to remember that the last-traded price is not necessarily the price at which a market order will be executed.
- **A limit order** is an order to buy or sell a security at a specific price or better. A buy limit order can only be executed at the limit price or lower, and a sell limit order can only be executed at the limit price or higher. Example: An investor wants to purchase shares of ABC stock for no more than $10. The investor could submit a limit order for this amount and this order will only execute if the price of ABC stock is $10 or lower.
- **A stop order, also referred to as a stop-loss order** is an order to buy or sell a stock (/glossary/glossary_terms/stock) once the price of the stock reaches the specified price, known as the stop price. When the stop price is reached, a stop order becomes a market order.
- **A buy stop order** is entered at a stop price above the current market price. Investors generally use a buy stop order to limit a loss or protect a profit on a stock that they have sold short. A sell stop order is entered at a stop price below the current market price. Investors generally use a sell stop order to limit a loss or protect a profit on a stock they own.

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